FOR REVIEW NAVIGATION ONLY — NOT PART OF THE RECORDED DOCUMENT

This page is a reviewer aid. It is excluded from recordation and from the recorded page count. The recorded document begins on the following page.

REDLINE FOR OWNER REVIEW

Recorded original (Doc. 2000-166795, recorded November 20, 2000) showing every change made by the three recorded amendments

HOW TO READ THIS DOCUMENT

Underlined text was added by an amendment. Struck-through text was deleted or replaced. Colour identifies which amendment made the change:

First Amendment, recorded July 26, 2001 — Doc. 2001-115825
Amendment, recorded December 26, 2007 — Doc. 2007-221527
Second Amendment, recorded March 5, 2009 — Doc. 2009-033482

Unmarked text stands as recorded in the original Declaration and was not changed by any amendment.

Working draft prepared 2026-07-27 from the audited transcriptions. Not an executed or recorded instrument. Amendment of this Declaration requires owner approval before recordation.

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LAND COURT SYSTEM | REGULAR SYSTEM

After Recordation, Return by Mail (xx) Pickup ( ) To:

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DECLARATION OF CONDOMINIUM PROPERTY REGIME
of
NĀ HALE O MĀKENA
CONDOMINIUM FILE PLAN NO. 3192

1. DEFINITION OF CERTAIN TERMS.

The terms defined below shall have the following meanings in this Declaration:

1.1 "Act"

"Act" means the Condominium Property Act, Chapter 514A, Hawaii Revised Statutes (1993) as amended to the date of this declaration.

1.2 "Apartment"

"Apartment" is defined in the Act as the specific unit of condominium ownership.

1.3 "Association of Apartment Owners"

"Association of Apartment Owners" and "association" means all owners of Apartments in the Project acting as a group as the "Association of Apartment Owners of Nā Hale O Mākena" in accordance with this Declaration and the Bylaws. The association shall be incorporated as a Hawaii corporation under HRS Chapter 415B.

1.4 "board of directors"

"board of directors" and "board" refers to the board of directors of the association.

1.5 "Bylaws"

"Bylaws" means the Bylaws of the association recorded in the Bureau of Conveyances concurrently with this Declaration, as amended from time to time.

1.6 "common elements"

"common elements" and "limited common elements" are defined in Sections 4 and 5 below.

1.7 "condominium documents"

"condominium documents" means this Declaration, the Bylaws, the rules and regulations, Condominium Map and any other condominium documents.

1.8 "Condominium Map"

"Condominium Map" means the plans showing the layout, location, Apartment numbers and dimensions of the Apartments and elevations of the buildings of this Project recorded as Condominium Map No. 3192, as amended from time to time. [Operative map: the First Amended Condominium Map substituted by the First Amendment, recorded 2001-07-26 as Doc 2001-115825.]

1.9 "Declarant" or "Developer"

"Declarant" or "Developer" means the Fee Owner.

1.10 "Declarant's architect"

"Declarant's architect" is defined in Section 8(g).

1.11 "Declaration"

"Declaration" means this Declaration of Condominium Property Regime of Nā Hale O Mākena as amended from time to time.

1.12 "Developer"

"Developer" refers to the Declarant.

1.13 "Fee Owner"

"Fee Owner" refers to Makena Estates L.L.C., a Hawaii limited liability company, whose principal place of business and post office address is 3620 Baldwin Avenue, Suite 107, Makawao, Hawaii 96768, the owner in fee simple of the land described in Exhibit "A" attached hereto.

1.14 "land"

"land" means the land described in Exhibit A attached hereto and made a part hereof.

1.15 "majority of owners"

"majority of owners" (or other specified percentage of owners) means the owners of Apartments to which are appurtenant more than fifty percent (or other specified percentage) of the common interests as defined in Section 7 and Exhibit C.

1.16 "mortgagee"

"mortgagee" or "apartment mortgagee" means the holder of a mortgage encumbering the fee simple title to or recorded leasehold interest in an Apartment.

1.17 "owner" or "owners"

"owner" or "owners" when referring to an Apartment means a person owning or persons owning jointly or in common an Apartment in the Project and the common interest appertaining thereto provided that:

(a) To such extent and for such purposes, including the exercise of voting rights, as shall be provided by a recorded lease, a lessee of an Apartment shall be deemed to be an apartment owner;

(b) The purchaser of an Apartment pursuant to a recorded agreement of sale shall have all the rights of an apartment owner; provided that the seller may retain the right to vote on "matters substantially affecting his security interest in the apartment" as that term is used in the Act; and

(c) In the event that any interest in an Apartment is transferred to a trustee under a land title-holding trust under which substantially all powers of management, operation and control of the Apartment remain vested in the trust beneficiary or beneficiaries, the beneficiary or beneficiaries of any such trust shall be deemed to be the owner or owners of the Apartment to the extent of their interest therein except insofar as the trustee notifies the association otherwise in writing. A transferee of the beneficial interest in any such trust shall have all of the rights and duties of an apartment owner when notice of such transfer is given to the association by the trustee. Unless and until such notice is given, the association shall not be required to recognize the transferee for any purposes, and the transferor may continue to be recognized by the association as the apartment owner and shall have all of the rights and obligations of ownership.

1.18 "Project"

The "Project" means Nā Hale O Mākena.

1.19 "project building"

"project building" refers to each building in the Project which contains Apartments.

1.20 "recorded"

"recorded" means recorded in the State of Hawaii Bureau of Conveyances.

1.21 "rules and regulations"

"rules and regulations" or "rules" refers to the rules and regulations adopted from time to time as provided in the Bylaws, and any amendments, governing the operation and use of Apartments and common elements.

2. SUBMISSION TO THE CONDOMINIUM PROPERTY REGIME.

The Fee Owner submits all of its right, title and interest in and to the Land described in Exhibit "A" and all improvements now located or hereafter constructed on the Land to a Condominium Property Regime as established by the Act. The Fee Owner declares that the Land is owned and shall be owned, conveyed, mortgaged, encumbered, leased, rented, used, occupied, and improved subject to the declarations, restrictions, and conditions set forth in this Declaration and in the Bylaws recorded concurrently herewith, as they may hereafter be amended, which declarations, restrictions, covenants and conditions shall constitute equitable servitudes, liens and covenants running with the Land and shall be binding on and shall inure to the benefit of the Fee Owner, all subsequent owners and lessees of Apartments in the condominium, all subsequent owners and lessees of all or any part of the Project and their respective heirs, successors, successors in trust, personal representatives and assigns. All of the provisions of this Declaration are intended to create mutual servitudes upon each Apartment within the Project and to create reciprocal rights among the apartment owners.

3. PROJECT NAME.

The Condominium Property Regime established hereby shall be known as "Nā Hale O Mākena."

4. DESCRIPTION OF THE LAND, BUILDINGS AND APARTMENTS.

4.1 Land.

The Land submitted to the Condominium Property Regime is described in Exhibit A attached hereto. The Land is submitted in fee simple.

4.2 Buildings and Apartments.

The Project consists of forty (40) residential apartments and no commercial apartments, all contained in six (6) buildings on the Land as more fully described in Exhibit "B" attached hereto and as shown on the Condominium Map. If the descriptions and divisions set forth in this Declaration conflict with the depictions and divisions shown on the Condominium Map, the latter shall control. The Condominium Map is intended only to show the layout, location, apartment numbers and dimensions of the Apartments and elevations of the buildings and is not intended and shall not be deemed to contain or make any other representation or warranty.

4.3 Limits and Measurements of Apartments

(a) Boundaries. Each Apartment consists of the space within the boundaries shown on the Condominium Map, which is enclosed by the perimeter walls and/or the imaginary vertical planes (where there is no perimeter wall), the floor, and the ceiling, as shown on the Condominium Map.

(b) Descriptions. The different Apartment types, including the number of rooms in each type, are described in Exhibit B attached hereto and made a part hereof. The apartment number, apartment type, approximate net living floor area (exclusive of covered lanais), and the approximate areas of covered lanai, are shown in Exhibit C attached hereto and made a part hereof. Exhibit C also identifies the covered parking stall assigned to each Apartment as a limited common element, and the undivided interest in the common elements appurtenant to each Apartment.

(c) Measurements. The approximate net living floor areas set forth in Exhibit C are based on measurements taken from the interior surface of all perimeter walls, except that no reduction is made to account for interior walls, ducts, vents, shafts, stairways and the like located within the perimeter walls. The approximate floor areas of covered lanai set forth in Exhibit C are based on measurements taken from (i) the exterior surface of each wall which separates the interior living areas of the Apartments from the lanai and (ii) the exterior edge of the concrete slab of the lanai and (iii) other exterior boundaries of the lanai. All floor areas set forth in Exhibit C are not exact but are approximations based on the floor plans of each type of Apartment. Interior dimensions of apartment rooms and enclosures as shown on the Condominium Map are also approximate in nature. Actual floor areas and interior dimensions upon completion of construction may vary as a result of reasonable construction tolerances.

(d) Access. Each ground level Apartment has an entry and immediate access to common element hallways, walkways, and grounds and other common elements of the Project. Each Apartment located on the second and third floors of Type II buildings and the second, third, and fourth floors of Type I buildings have an entry and immediate access (through either an elevator or stairway) to common element walkways and grounds and other common elements of the Project.

(e) What Is Included in Apartments. Each Apartment shall be deemed to include: (i) all the walls, partitions and components thereof which are not load-bearing within its perimeter walls, (ii) all non-loadbearing, non-structural interior components of the Apartment's perimeter and party walls, (iii) the interior decorated or finished surfaces of all walls, floors and ceilings, including floor coverings, (iv) all doors, door frames, windows, window frames and panels along the perimeters and the exterior garage door, (v) all fixtures originally installed in the Apartment, (vi) all pipes, plumbing, heat pumps, wiring, fixtures, outlets, circuit breakers and switches which serve only that Apartment, (vii) any loft area within an Apartment, and (viii) the lanai of each Apartment.

(f) What Is Not Included in Apartments. The Apartments shall not be deemed to include: (a) the loadbearing or structural components of the perimeter walls and all exterior components of perimeter walls, whether or not loadbearing or structural, (b) all loadbearing or structural components of all interior walls and party walls, (c) the undecorated or unfinished surfaces of the floors and ceilings surrounding each Apartment, including any attic space located above said ceilings, (d) any pipes, shafts, wires, conduits or other utility or service lines running through such Apartment which are utilized for or serve more than one Apartment, or (e) the finished surfaces of the lanais (including adjacent exterior wall surfaces of the Apartments) which the association shall have the responsibility to maintain under Section 5.4 below the same being deemed common elements as hereinafter provided.

5. COMMON ELEMENTS.

5.1 Common Elements.

The common elements include all other elements of the Project not included within any Apartment, including but not limited to:

(a) The Property in fee simple;

(b) The limited common elements described in Section 5.2 below;

(c) All foundations, columns, girders, beams, supports, perimeter walls, load-bearing walls, roof structures (including without limitation, roof joists, sheathing and roofing materials), pumps, ducts, pipes, wires, conduits or other utility or service lines which are located outside the Apartment or which are utilized for or serve more than one Apartment, and generally all equipment, apparatus, installations and personal property existing for common use in the buildings or located on the Land;

(d) All pipes, wires, ducts, conduits or other utility or service lines running through any Apartment which are utilized by or serve more than one Apartment;

(e) All elevators, roads, driveways and other common ways, all parking spaces and related areas, all landscaping, exterior irrigation systems, fences, lanai railings, gates, retaining walls, mailbox areas, trash areas, and accessory equipment areas located on the Land or in any building;

(f) The resident manager's residence, swimming pool and jacuzzi, the cabana with kitchen, workout room, lanai, and men's and women's restrooms;

(g) All distribution systems for water, sewer, electrical, telecommunication and other utility services not located within any Apartment and not owned by the County of Maui or any public utility;

(h) All finished surfaces which the Association shall have the responsibility to maintain under Section 5.4 below;

(i) Designation of additional areas to be common elements or subject to common expenses shall require the approval of ninety percent of the apartment owners.

5.2 Limited Common Elements.

Certain of the common elements are hereby set aside and reserved for the exclusive use of certain of the Apartments, and the Apartments shall have appurtenant thereto exclusive easements for the use of such limited common elements as follows:

(a) Each Apartment shall have one (1) assigned, covered parking stall and one storage locker located immediately in front of the assigned covered stall.

(b) Each Apartment shall be assigned one (1) mailbox.

(c) Any other common element of the Property which is rationally related to only one Apartment shall be deemed a limited common element appurtenant to and for the exclusive use of such Apartment, provided, however, that all attic areas shall be common elements and shall not be limited common elements.

5.3 Common Expenses and Costs and Expenses Relating to Limited Common Elements.

All provisions of the Bylaws relating to common expenses, limited common expenses and the rights and remedies of the association in connection therewith are hereby incorporated into this Declaration by reference.

(a) Each apartment owner shall be liable for a proportionate share equal to said Apartment's "common interest" as defined in Section 7 below of all costs, expenses, assessments, taxes and charges described in the Bylaws as "common expenses". The method of determining and collecting common expenses shall be as set forth in the Bylaws. All sums chargeable as common expenses to any Apartment but unpaid shall constitute a lien on such Apartment, which lien shall have such priority and may be foreclosed by the association as provided in the Bylaws and in the Act.

(b) The cost of maintaining, repairing and replacing all limited common elements shall be assessed to all Apartments as a common expense.

5.4 Responsibilities.

The owner of each Apartment shall be responsible for maintaining the interior of said Apartment. The responsibility and expense of painting and maintaining the finished surfaces of lanais which are visible from the grounds or any other Apartment against ordinary wear and tear, including railings, supporting columns, floor surfaces (other than carpeting or other floor covering placed by the owner), building exterior and the exterior of any lanai enclosure shall be borne by the association as a common expense as part of a standard program of regular exterior maintenance in order to maintain a uniform and attractive exterior appearance of all project buildings. However, any costs of repair or maintenance which in the reasonable judgment of the board of directors (or the Managing Agent) are caused by any act or neglect of the apartment owner or any guest, tenant or licensee of said owner or are otherwise beyond the scope of the regular maintenance program shall be billed to and paid by the owner of said Apartment as a special assessment. The owner of each Apartment shall be responsible for insuring against casualty to or loss of all furniture, decorations, and other contents of the Apartment which are not covered by the insurance carried by the Association as provided in Section 12 below.

6. EASEMENTS AND OTHER RIGHTS.

In addition to the easements established as limited common elements, the Apartments and common elements shall also have and be subject to the following easements:

(a) Each Apartment shall have appurtenant thereto non-exclusive easements in the common elements designed for such purposes for ingress to, egress from utility services for, and support, maintenance, and repair of such Apartment; in the other common elements for use according to their respective purposes for which they are intended without hindering or encroaching upon the lawful rights of the other apartment owners; and in all other Apartments and common elements of the project building in which such Apartment is located for support.

(b) If any part of the common elements now or hereafter encroaches upon any Apartment or limited common element or if any Apartment now or hereafter encroaches upon any other Apartment or upon any portion of the common elements, a valid easement for such encroachment and the maintenance thereof, so long as it continues, shall exist; provided, however, that if an encroachment is caused directly or indirectly by the intentional act or neglect of any apartment owner, the board, in its sole discretion, may demand that such owner take such steps as are necessary to remove the encroachment, and the apartment owner causing the encroachment shall be liable for all expenses, costs and fees arising in connection with such removal. In the event any building shall be partially or totally destroyed and then rebuilt, or in the event of any shifting, settlement or movement of any portion of any building, encroachments upon any part of the common elements or any Apartment due to the same shall be permitted, and valid easements for such encroachments and the maintenance thereof shall exist for so long as such encroachment exists.

(c) The association shall have the irrevocable right, to be exercised by the board of directors, to have access to each Apartment and any limited common elements from time to time during reasonable hours as may be necessary for the operation or maintenance of the Project, including any Apartment, or at any time for making emergency repairs therein necessary to prevent damage to the common elements or to any other Apartment.

(d) The association shall have the right, to be exercised by the board, to designate, grant, convey, transfer, cancel, relocate and otherwise deal with any easements over, under, across or through the common elements of the Project for any reasonable purpose, which may include, but shall not be limited to, those purposes which are necessary to the operation, care, upkeep, maintenance or repair of any Apartment, the common elements or any easements for utilities or for any public purpose.

(e) The association shall have the right, to be exercised by the board, to transfer, cancel, relocate and otherwise deal with any easement over, under, across or through any lands adjacent to the Project, which may be appurtenant to the Land of the Project, for any reasonable purpose, which may include, but shall not be limited to, any of the same purposes set forth in the preceding subparagraph (d) or for the reason that any owner of any such lands adjacent to the Project exercises any right to require the relocation of any such easement.

(f) The Declarant shall have the right to conduct extensive sales activities utilizing the common elements and any Apartments owned or leased by the Declarant with respect to sales of the Project and other property in the vicinity of the Land, including the use of model apartments, sales and management offices and parking areas and utilizing extensive sales displays and activities.

(g) The Declarant, its agents, employees, contractors, licensees, successors and assigns, shall have an easement over and upon the Project as may be reasonably necessary for the completion of the Project and the sale of all Apartments in the Project.

(h) The Declarant hereby reserves the right to designate, grant, convey, transfer, cancel, relocate and otherwise deal with any easements over, under, across, or through the common elements for any reasonable purpose, which may include, but shall not be limited to, those purposes which are necessary to the operation, care, upkeep, maintenance or repair of any Apartment or the common elements or any easements for utilities or for any public purpose.

(i) To the extent that the joinder or consent of any apartment owner may be required in order to confirm, effectuate or exercise any easements or rights granted or reserved to the Declarant or others, or validate any act or thing done pursuant to such easements, rights and reservations of the Declarant or others, such joinder or consent may be executed and given by the Declarant as the attorney-in-fact for, and in the name and stead and on behalf of, such apartment owner. Each apartment owner, by acquiring or accepting the ownership of an Apartment, shall thereby (i) appoint the Declarant as such owner's attorney-in-fact as aforesaid, such appointment being coupled with an interest and being irrevocable, and (ii) agree that such owner shall, promptly upon the Declarant's request and for no further consideration, execute, acknowledge and deliver to the Declarant such instruments as the Declarant may require to evidence or confirm such joinder or consent.

(j) If the Project or any part thereof is found not to be in compliance with any federal, state or local law in effect at the time of completion of the Project, the Declarant shall have the right, at its election, at any time thereafter to enter the Project and make such modifications to the common elements as are necessary, in the Declarant's judgment, to bring the Project into compliance with the applicable laws. This right shall include, but shall not be limited to, the right to cause noise, dust and other disturbances and nuisances incidental to modifying the common elements as required; provided, however, that the Declarant or any party performing such work on behalf of the Declarant shall make reasonable efforts to minimize such disturbances and nuisances.

7. COMMON INTEREST.

(a) Each Apartment shall have appurtenant thereto an undivided percentage interest (herein sometimes called the "common interest") in the common elements of the Project and in all common profits and expenses of the Project, and for all other purposes, including voting as shown on Exhibit C attached hereto and made a part hereof. All references herein or in the Bylaws to the vote or consent of a specified percentage of the apartment owners shall mean the owners of Apartments to which are appurtenant such percentage of the common interests.

(b) Except as otherwise provided in this Declaration the undivided interest in the common elements and other easements appurtenant to each Apartment shall have a permanent character, and shall not be altered without the consent of all of the apartment owners affected, expressed in an amendment to this Declaration duly recorded, which amendment shall contain the consent thereto by the holders of any first mortgage on such Apartments as shown in the association's record of ownership, or who shall have given the board notice of their interest through the secretary of the association or the managing agent (if any) and shall not be separated from the Apartment to which they appertain, and shall be deemed to be conveyed, leased or encumbered with such Apartment even though such interest or easements are not expressly mentioned or described in the conveyance or other instrument. The common elements and each Apartment shall remain undivided, and no right shall exist to partition or divide any portion of the common elements or any Apartment except as provided in the Act and as otherwise expressly provided herein. This Declaration and the Condominium Property Regime created hereby cannot be terminated except in accordance with the Act and the provisions of this Declaration and the Bylaws.

8. PURPOSES AND USES.

The Project and each of the Apartments are intended for and shall be restricted to the following purposes and uses:

Deleted by the Second Amendment (2009):

~~(a) Each Apartment shall be occupied and used for residential purposes only. An apartment owner may rent his Apartment to any third party for a period of not less than one hundred eighty (180) consecutive days, provided that the rental agreement shall be in writing and a copy thereof shall be provided to the managing agent prior to occupancy. The owner shall provide each rental tenant with a copy of the rules and regulations and Bylaws for the tenant's review. An owner who rents his Apartment shall at all times remain primarily and severally liable to all other apartment owners and to the association for any failure on the part of such~~

~~owner's tenant(s) to observe and comply with all provisions of this Declaration, the Bylaws, the rules and regulations and all other applicable laws. In no event shall any Apartment or any interest therein be sold, transferred, conveyed, leased, occupied, rented or used for or in connection with any time-sharing purpose or under any time-sharing plan, arrangement or program, including without limitation any so-called "vacation license", "travel club membership" or "time interval ownership" arrangement. The term "time-sharing" as used herein shall mean any plan, program or arrangement which is a "time share plan" as defined by Hawaii Revised Statutes Section 514E-1, as amended or any successor statute. No Apartment may be used as a rooming house, for bed and breakfast purposes, or for the carrying on of any business, trade or profession except for rentals as permitted herein and except for incidental home work which (i) does not involve any outside employees working in the Apartment (ii) is not visible from outside the Apartment.~~

Substituted by the Second Amendment (2009):

"(a) Each Apartment shall be occupied and used for residential purposes only. An apartment owner may rent his Apartment to any third party for a period of not less than one hundred eighty (180) consecutive days, provided that the rental agreement shall be in writing and a copy thereof shall be provided to the managing agent prior to occupancy. The owner shall provide each rental tenant with a copy of the rules and regulations and Bylaws for the tenant's review. An owner who rents his Apartment shall at all times remain primarily and severally liable to all other apartment owners and to the association for any failure on the part of such owner's tenant(s) to observe and comply with all provisions of this Declaration, the Bylaws, the rules and regulations and all other applicable laws. In no event shall any Apartment or any interest therein be sold, transferred, conveyed, leased, occupied, rented or used for or in connection with any time-sharing purpose under any time-sharing plan, arrangement or program, or pursuant to any "secured ownership investment" or "fractional ownership" program, including without limitation any so-called "vacation license", "travel club membership", "shared ownership company" or "interval ownership" arrangement. Any use of an Apartment by any person other than the owner may only occur without any consideration being paid for such use, be it financial, in-kind, contra or any other form of consideration. The term "time-sharing" as used herein shall mean any plan, program or arrangement which is a "time share plan" as defined by Hawaii Revised Statutes Section 514E-1, as amended or any successor statute. No Apartment may be used as a rooming house, for bed and breakfast purposes, or for the carrying on of any business, trade or profession except for rentals as permitted herein and except for incidental home work which (i) does not involve any outside employees working in the Apartment, and (ii) is not visible from the outside of the Apartment."

(b) No owner will suffer anything to be done or kept in an Apartment or elsewhere in the Project which would jeopardize the soundness of the Project, or which will interfere with or unreasonably disturb the rights of other apartment owners, or which will increase the rate of the hazard insurance on the Project or the contents thereof, or which will reduce the value of the Project.

(c) The owner of any Apartment will not, without the prior written consent of the board of directors, display any sign or place any other thing in or upon any doors, windows, walls or other portions of the Apartment or the common elements so as to be visible from the exterior, provided, however, that this restriction shall not apply to signs displayed by the Developer for sales purposes prior to the completion of sales of all Apartments in the Project.

(d) The common elements shall be used only for the purposes for which they are designed and intended.

(e) Notwithstanding anything contained hereinabove to the contrary, the Developer shall have the right to conduct sales activities as provided in section 6(f) above.

9. EXEMPTIONS FOR PERSONS WITH DISABILITIES.

Notwithstanding anything to the contrary contained in this Declaration, the Bylaws or the rules and regulations, owners with disabilities shall be allowed reasonable exemptions from this Declaration, the Bylaws and the rules and regulations, when necessary and as appropriate to enable them to use and enjoy their Apartments and/or the common elements, provided that any owner with a disability desiring such an exemption shall make such request, in writing, to the board of directors. That request shall set forth, with specificity and in detail, the nature of the request and the reason that the requesting party needs to be granted such an exemption. The board of directors shall not unreasonably withhold or delay its consent to such request, and any such request shall be deemed to be granted if not denied in writing, within forty-five (45) days of the board's receipt thereof, or within forty-five (45) days of the board's receipt of additional information whichever shall last occur. If the request requires any modification to the exterior of the Apartment or a modification which otherwise affects the exterior appearance of the Project, the modifications must be approved by the board of directors at the expense of the applicant.

10. SERVICE OF PROCESS.

Martin W. Quill, whose post office address is 3620 Makawao Avenue, Suite 107, Makawao, Hawaii 96768, is hereby designated as the agent to receive service of process until such time as the board of directors and officers of the association are elected, at which time and thereafter process may be served upon any officer of the association.

11. ADMINISTRATION OF PROJECT.

The administration of the Project shall be governed by the association and shall be governed by the Act, this Declaration, the Bylaws, the rules and regulations, the Apartment Deed conveying to each owner his interest in his Apartment, and all other applicable federal, state or local laws, rules and regulations and each apartment owner shall comply strictly therewith. Without limiting the generality of the association's functions and duties under this Declaration or applicable law or custom, the association shall:

(a) Make, build, maintain and repair all fences, drains, roads, curbs and sidewalks which may be required by law to be made, built, maintained and repairs upon or adjoining or in connection with or for the use of the common elements or any part thereof;

(b) Keep all common elements in a strictly clean, orderly and sanitary condition, and observe and perform all laws, ordinances, rules and regulations now or hereafter made by any governmental authority for the time being applicable to the common elements or the use thereof;

(c) Well and substantially repair, maintain, amend, and keep all common elements with all necessary reparations and amendments whatsoever in good order and condition except as otherwise provided herein or in the Bylaws;

(d) Not at any time make or suffer any strip or waste or unlawful or improper or offensive use of the common elements; and

(e) Observe and perform all of the limitations, restrictions, covenants and conditions to be observed and performed under this Declaration, the Bylaws and the rules and regulations.

12. INSURANCE AND DAMAGE.

12.1 Commercial Property Insurance.

The board, on behalf of the association, shall at all times keep all buildings and common elements of the Project, and whether or not part of the common elements, all exterior and interior walls, floors, ceilings, cabinets, appliances, wall coverings, floor covering, permanently installed fixtures and built-in fixtures, as installed or their replacements, insured against loss, destruction and damage by all perils of direct physical damage by a commercial property insurance policy or policies written on the Insurance Service Office (commonly referred to as "ISO") "Special Form" used in the State of Hawaii or its equivalent, with an amount of coverage equal to 100% of the insurable replacement cost of the buildings and improvements of the Project and including the following endorsements: (1) replacement cost coverage, (2) agreed amount, and (3) building ordinance coverage insuring against contingent liability from the operation of federal, state or county laws, statutes, ordinances or regulations concerning the improvements or structures on or about the Land, demolition of such improvements or structures and increased cost of construction of such improvements or structures, all such coverage being with such deductibles as the board shall deem appropriate; and additionally the board will cause to be purchased, if necessary, a difference-in-conditions policy to include flood, earthquake, backup sewers, broad form collapse coverage, and building ordinance coverage with deductible amounts and a limit of liability determined to be prudent by the board. If the Project is located in an identified flood hazard area as now or hereafter designated by the United States Department of Housing and Urban Development, the association shall also procure flood insurance required under the provisions of the Flood Disaster Protection Act.

The Association shall purchase the insurance required under this Section 12 from an insurance company authorized to do business in Hawaii and having a rating by Best's Insurance Reports of Class A:VI or better, in the name of the association for the benefit of all owners and their mortgagees according to the loss or damage to their respective Apartments and appurtenant common interest and payable in case of loss in excess of $100,000 to such bank or trust company authorized to do business in the State of Hawaii as the board may designate, as trustee (the "Insurance Trustee"), for the custody and disposition as herein provided of all proceeds of such insurance, without prejudice to the right of each owner to insure his Apartment for his own benefit.

Subject to the provisions of this Declaration, in every case of such loss or damage, all insurance proceeds shall be used as soon as reasonably possible by the association for rebuilding, repairing or otherwise reinstating the buildings and other improvements and fixtures required to be insured hereunder in a good and substantial manner according to the original plans and elevations thereof or such modified plans conforming to laws and ordinances then in effect as shall be first approved as herein provided, and the association at its common expense shall make up any deficiency (including deductible amounts) in such insurance proceeds.

All premiums on the policy or policies required under this Section 12 and all deductibles and self-insured retentions shall be borne by the owners of the Apartments as a common expense in proportion to their undivided interests in the common elements.

Every such policy of insurance shall, unless unobtainable:

(a) Provide that the liability of the insurer thereunder shall be primary and shall not be affected by, and that the insurer shall not claim any right or set-off, counterclaim, apportionment, proration or contribution by reason of, any other insurance obtained by or for any owner;

(b) Contain no provision relieving the insurer from liability for loss occurring while the hazard to any building is increased, whether or not within the knowledge or control of the board, or because of any breach of warranty or condition or any other act or neglect by the board or any owner or any other persons under either of them;

(c) Provide that such policy and the coverage thereunder may not be canceled, reduced or substantially modified (whether or not requested by the board) except by the insurer giving at least thirty (30) days' prior written notice thereof to the board, every mortgagee of any

Apartment, and any other person in interest who shall have requested such notice of the insurer;

(d) Contain a waiver by the insurer of any right of subrogation or transfer of any recovery right to any right of the board or any of the owners against any of them or any other persons under them;

(e) Contain a provision waiving any right of the insurer to repair, rebuild or replace if a decision is made pursuant to this Declaration or the Bylaws not to reinstate, rebuild, or restore the damaged or destroyed improvements;

(f) Require the insurance carrier, at the inception of the policy and on each anniversary date thereof, to provide the board with a written summary of the policy including the type of policy, a description of the coverage and limits thereof, amount of annual premium, and renewal dates; and the summary shall be in layman's terms and the board shall provide a copy thereof to each owner; and

(g) Contain a standard mortgage clause on ISO commercial property form which shall, unless unobtainable:

    (i) Name the holder of any mortgage affecting any Apartment whose name shall have been furnished to the board and to the insurer and provide that any reference to a mortgagee in such policy shall mean and include all holders of mortgages of any Apartment of the Project, in their respective order and preference, whether or not named therein;

    (ii) Provide that such insurance as to the interest of any mortgagee shall not be invalidated by any act or neglect of the board or the owners or any persons under them;

    (iii) Provide that, without affecting any protection afforded by such mortgage clause, any proceeds payable under such policy shall be payable to the Insurance Trustee as provided in Section 12.1 above for the owners and their mortgagees as their respective interests may appear.

12.2 Liability Insurance

The board, on behalf of the association, shall also effect and maintain at all times, to the extent reasonably available, commercial general liability insurance, including coverage for premises/operations, independent contractors, contractual liability, personal injury, employees as additional insureds, broad form property damage, covering all owners with respect to the Project, in an insurance company authorized to do business in Hawaii, with policy limits of at least $1,000,000 per occurrence and $2,000,000 general aggregate or such higher limits as the board may from time to time establish with due regard to the prevailing prudent business practice in the State of Hawaii as reasonably adequate for the protection of the association, the board, all owners, the managing agent and employees of the association, without prejudice to the right of any of the owners to maintain additional liability insurance for their respective Apartments.

All premiums on the policy or policies required under this Section 12 shall be borne by the owners of the Apartments in proportion to their undivided interests in the common elements.

Each such policy, unless unobtainable, shall:

(a) Contain no provision relieving the insurer from liability because of loss occurring while the hazard is increased in any building, whether within the control or knowledge of the board, or because of any breach of warranty or condition caused by any owner or by any act or neglect of the owner or tenant of an Apartment;

(b) Provide that the policy and its coverage may not be canceled, reduced or substantially modified (whether or not requested by the board) except by the insurer giving at least thirty (30) days' prior written notice thereof to the board, all owners and their mortgagees and every other person in interest who shall have requested such notice of the insurer;

(c) Contain a waiver by the insurer of any subrogation to any right of the board, the managing agent or any owner against any of them or any other person under their control; and

(d) Contain a "severability of interest" clause precluding the insurer from denying the claim of an owner because of negligent acts of the association or other owners.

12.3 Worker's Compensation

The board on behalf of the Association as a common expense shall effect and maintain a policy of worker's compensation insurance to cover employees of the Association, if any.

12.4 Liability Insurance for Members of the Board and Officers of the Association

The board, on behalf of the association at its common expense, may effect and maintain liability insurance covering members of the board and officers of the association with minimum coverage in such amounts as shall be determined by the board. Any such insurance policy shall require the insurance carrier, at the inception of the policy and on each anniversary date thereof, to provide the board with a written summary of the policy, including the type of policy, a description of the coverage and limits thereof, the amount of annual premium, and renewal dates; and the summary shall be in layman's terms and the board shall provide a copy thereof to each apartment owner.

12.5 Other Insurance

The board may on behalf of the Association at its common expense, obtain and maintain any other insurance coverage which the board shall in its discretion deem necessary or appropriate.

12.6 Review of Insurance Program

The board shall review not less frequently than annually the adequacy of its entire insurance program and shall report in writing its conclusions and action taken on such review to the owner of each Apartment and to the holder of any mortgage on any Apartment who shall have requested a copy of such report. At the request of any mortgagee of any interest in any Apartment, the board shall furnish to such mortgagee a certificate or other proof or summary of the property and liability policies referred to in this Section 12.

12.7 Waivers of Subrogation

To the extent that any loss, damage or destruction to any building or any common elements is covered by insurance procured by the board, the board shall have no claim or cause of action for such loss, damage or destruction against any owner except for the deductible and only if caused by the negligent or intentional act or omission of said owner or said owner's guests, tenants or licensees. To the extent that any loss, damage or destruction to the property of any owner is covered by insurance procured by such owner, such owner shall have no claim or cause of action for such loss, damage or destruction against the board, the managing agent, any resident manager, any other owner or the association. All policies of insurance referred to in this Section 12 shall contain appropriate waivers of transfer of recovery rights by the insurers.

12.8 Substitute Coverage

Any insurance coverage specified in this Section 12 shall be subject to availability with responsible insurance companies authorized to do business in the State of Hawaii. Where such coverage is not available, or is not available at a reasonable cost, then the board shall substitute such other insurance coverage as is acceptable to institutional lenders for apartments in projects similar in construction, location and use.

13. INSURED CASUALTY AND UNINSURED CASUALTY.

13.1 Insured Casualty

(a) Collection of Insurance Proceeds. In the event of any damage to all or any portion of the Project by fire or other casualty which is insured against, the board of directors shall take all reasonable steps necessary to collect the insurance proceeds and deposit the same with the Insurance Trustee at the earliest practicable date and, except as otherwise provided herein, to cause all rebuilding or repairing work to be undertaken and completed as hereinafter provided as promptly as may be reasonably possible in the circumstances.

(b) Insured Casualty to Single Apartment. If any portion of the Project is damaged by fire or other casualty which is insured against and such damage is limited to a single Apartment, all of the insurance proceeds shall be used by the Insurance Trustee for payment of the contractor employed by the board of directors to rebuild or repair such Apartment (including paint, floor covering, fixtures, and mechanical, electrical and other equipment therein which are deemed to be common elements as provided herein) in accordance with the original plans and specifications therefor, or if reconstruction in accordance with said plans and specifications is not permissible under the laws then in force, in accordance with such modified plans and specifications as shall be previously approved by the board of directors and any mortgagee of record of any interest in the Apartment so damaged.

(c) Other Insured Casualty. If any insured-against damage to the Project should occur other than the damage described in the preceding paragraph, the board of directors shall thereupon contract to repair or rebuild the damaged portions of the Project (including paint, floor covering, fixtures, and any mechanical, electrical and other equipment therein which are deemed to be common elements as provided herein), in accordance with the original plans and specifications therefor, or if reconstruction in accordance with said plans and specifications is not permissible under the laws then in force, in accordance with such modified plans and specifications as shall be previously approved by the board of directors and the mortgagee of record of any interest in an Apartment directly affected thereby. In the event said modified plans or modifications eliminate any Apartment and such Apartment is not reconstructed, the Insurance Trustee shall pay the owner of said Apartment and any mortgagee of record of any interest in said Apartment, as their interests may appear, the portion of said insurance proceeds allocable to said Apartment (less the proportionate share of said Apartment in the cost of debris removal) and shall disburse the balance of the insurance proceeds as hereinafter provided for the disbursement of insurance proceeds.

(d) Insufficient Insurance Proceeds. The insurance proceeds shall be paid by the Insurance Trustee to the contractor employed for such work, in accordance with the terms of the contract for such construction and in accordance with the terms of this Section 13. If the insurance proceeds are insufficient to pay all the costs of repairing and/or rebuilding, then the board of directors shall levy, as soon as reasonably possible following the determination of the amount of such insufficiency, a special assessment (i) with respect to the repairing and/or rebuilding of the common elements, against the owners of all Apartments, except for Apartments being eliminated from the Project, in proportion to their common interests, and (ii) with respect to the repairing and/or rebuilding of an Apartment, against the owner of such Apartment. The foregoing special assessments shall be secured by a lien as a common expense.

(e) Disbursement of Insurance Proceeds. The cost of the work (as estimated by the board of directors) shall be paid out from time to time or at the direction of the board as the work progresses, but subject to the following conditions:

    (i) An architect or engineer (who may be an employee of the board) shall oversee the work;

    (ii) Each request for payment shall be made on seven (7) days' prior notice to the Insurance Trustee and shall be accompanied by a certificate to be made by such architect or engineer stating that all of the work completed has been done in compliance with the approved plans and specifications and that the sum requested is justly required to reimburse the board for payments by the board to, or is justly due to, the contractor, subcontractors, materialmen, laborers, engineers, architects or other persons rendering services or materials for the work (giving a brief description of such services or materials), and that when added to all sums previously paid out by the Insurance Trustee the sum requested does not exceed the value of the work done to the date of such certificate;

    (iii) Each request shall be accompanied by waivers of liens satisfactory to the Insurance Trustee, covering that part of the work for which payment or reimbursement is being requested and by a search prepared by a title company or licensed abstractor or by other evidence satisfactory to the Insurance Trustee, that there has not been filed with respect to the premises any mechanics' or other lien or instrument for the retention of title with respect to any part of the work not discharged of record;

    (iv) The request for any payment after the work has been completed shall be accompanied by a copy of any certificate or certificates required by law to render occupancy of the premises legal;

    (v) The fees and expenses of the Insurance Trustee as determined by the board of directors and the Insurance Trustee shall be paid by the association as a common expense, and such fees and expenses may be deducted from any proceeds at any time in the hands of the Insurance Trustee; and

    (vi) Such other conditions not inconsistent with the foregoing as the Insurance Trustee may reasonably request.

(f) Excess Insurance Proceeds. Upon completion of the work and payment in full therefor, any remaining proceeds of insurance then or thereafter in the hands of the board of directors or of the Insurance Trustee shall be paid or credited (i) for proceeds attributable to the common elements, to the owners of all the Apartments and the holders of any mortgage on the Apartments, as their interests may appear, in proportion to their common interests, or (ii) for proceeds attributable to an Apartment, to the owner of such Apartment and the holder of each mortgage on such Apartment, as their interests may appear.

(g) Mutual Release of Claims. To the extent that any loss, damage or destruction to any portion of the Project or other property is covered by insurance procured by the board of directors, the association, apartment owners and board of directors shall have no claim or cause of action for such loss, damage or destruction against any apartment owner (other than for any special assessment levied pursuant to Section 13 of this Declaration), the Declarant, the board of directors or any officer of the association. To the extent that any loss, damage or destruction to an Apartment or any other property of an apartment owner is covered by insurance procured by such owner, such owner shall have no claim or cause of action for such loss, damage or destruction against the association, board of directors, any officer of the association, the managing agent, the Developer or any other apartment owner or any person claiming under any of them.

13.2 Uninsured Casualty: Partial Restoration and Determination Against Restoration

(a) Uninsured Casualty. In case at any time or times any improvements of the Project shall be substantially damaged or destroyed by any casualty not insured against, such improvements shall be rebuilt, repaired or restored unless apartment owners owning eighty percent (80%) or more of the Apartments in number and owning Apartments to which are appurtenant eighty percent (80%) of the common interests vote to the contrary. Any such approved rebuilding, repair, or restoration shall be borne by the association as a common expense with respect to any common elements.

The apartment owners shall be solely responsible for any restoration of their respective Apartments so damaged or destroyed. Such rebuilding, repair or restoration shall be performed in accordance with the original plans and specifications therefor or such other plans and specifications first approved by the board of directors, and the mortgagees of record of any interest in an Apartment directly affected thereby. Unless such restoration is undertaken within a reasonable time after such casualty, the association, at its common expense, shall remove all remains of improvements so damaged or destroyed and restore the site thereof to good orderly condition and even grade.

(b) Partial Restoration. Restoration of the Project with less than all of the Apartments after casualty or condemnation may be undertaken by the association only pursuant to an amendment to this Declaration, duly adopted by the affirmative vote of not less than eighty percent (80%) of the apartment owners, including at least eighty percent (80%) of the owners of Apartments that will not be restored, and by all holders of mortgages encumbering the Apartments that will not be restored, by (a) removing the Project from the condominium property regime established by this Declaration, (b) reconstituting all of the remaining Apartments and common elements to be restored as a new condominium property regime, and (c) providing for payment to the owner of each Apartment not to be restored and such owner's mortgagee, if any, as their interests may appear, the then fair market value of such Apartment, less such Apartment's proportionate share of the cost of debris removal. If the board of directors and the owner of a removed Apartment are unable to agree upon such fair market value within one hundred eighty (180) days after such damage or destruction has occurred, then such fair market value shall be determined by any judge of the State of Hawaii Second Circuit Court.

14. CONDEMNATION.

14.1 Condemnation Trustee

In case at any time or times the Project or any part thereof shall be taken or condemned by any authority having the power of eminent domain, or shall be sold to such authority under threat of condemnation, all compensation and damages for or on account of any common elements of the Project shall be payable to such bank or trust company (the "Condemnation Trustee") authorized to do business in Hawaii as the board shall designate as trustee for all apartment owners and mortgagees according to the loss or damage to their respective Apartments and appurtenant common interests.

14.2 Allocation of Condemnation Proceeds

In the event all or any of the Apartments are taken and there is no final judicial determination of the amount of condemnation proceeds allocable to each Apartment so taken, the amount of the condemnation proceeds allocable to each Apartment (including the Apartment's appurtenant interest in the common elements) shall be determined by a real estate appraiser ("appraiser") who shall be a member of the American Institute of Real Estate Appraisers, or any successor organization and who shall have acted on behalf of the apartment owners in the condemnation proceedings; or, if no such appraiser shall have acted on behalf of the apartment owners or if more than one appraiser shall have acted on behalf of the apartment owners, then an appraiser with such qualifications shall be selected by the board to determine the amount of condemnation proceeds allocable to each Apartment.

14.3 Condemnation of Entire Project

If the entire Project is taken, the Condemnation Trustee shall pay each apartment owner and mortgagee, as their interests may appear, the portion of the condemnation proceeds determined in the above manner.

14.4 Partial Taking

(a) In the event of a partial taking of the Project in which (i) any Apartment is physically eliminated, or (ii) a portion thereof is eliminated and the remaining portion cannot be repaired or rebuilt in a manner satisfactory to the owner of the Apartment, then such Apartment shall be removed from the Project and the Condemnation Trustee shall disburse to the owner and any mortgagee of such Apartment, as their interests may appear, in full satisfaction of their interests in the Apartment, the portion of the proceeds of such award allocable to such eliminated or removed Apartment after deducting the proportionate share of such Apartment in the cost of debris removal, and the apartment owners shall amend this Declaration to reflect the removal of said Apartment(s) and the appropriate adjustment in the ownership of the common elements.

(b) In the event of any partial taking of any of the common elements of the Project, the board shall arrange for any necessary repairs and restoration of the improvements remaining after the taking in accordance with the design thereof immediately prior to such condemnation or, if repair and restoration in accordance with such design are not permissible under applicable laws and regulations then in force, in accordance with such modified plan as shall be first approved by the board, and the mortgagee of record of each Apartment in the Project remaining after such taking. If the sums held by the Condemnation Trustee are insufficient to pay the cost for such repair and restoration, the board shall pay such excess as a common expense, and if necessary shall levy a special assessment against the apartment owners.

(c) If the sums received as a result of a partial condemnation exceed the total of any amounts payable to the owner and mortgagee of a removed Apartment and the amount of costs for debris removal and for repair and restoration of the remaining buildings and improvements, such excess shall be divided among the apartment owners including the owners of any eliminated Apartments in accordance with their interest in the common elements prior to the condemnation.

(d) Unless restoration or replacement is undertaken within a reasonable time after such taking, condemnation or sale, the association at its common expense shall remove all remains of such improvements on the remaining Land and restore the site thereof to good orderly condition and even grade.

15. COMPLIANCE WITH CONDOMINIUM DOCUMENTS.

15.1 Compliance

All apartment owners, their tenants, families, employees and guests, and any other persons who may in any manner use the Apartments, common elements or limited common elements, shall be bound by and comply strictly with the provisions of the condominium documents and all agreements and determinations of the association as lawfully made or amended from time to time. Each owner will include in the terms of each lease of said owner's Apartment a requirement that tenant shall comply with all covenants and conditions contained in this Declaration, the Bylaws, the rules and regulations or any other applicable condominium documents. Failure to comply with any of the same (including an owner's tenant(s)), shall be grounds for an action (for eviction in the case of a tenant) to recover sums due for damages or injunctive relief or both, maintainable by the board of directors on behalf of the association or, in a proper case, by any aggrieved apartment owner.

In addition to enforcement against the owner(s), the association or any aggrieved owner may bring any such action directly against any tenant or occupant of any Apartment.

In any action by the association for collection of unpaid common expense assessments, the association shall have the right to collect such sums directly from any tenant (or owner's rental agent) of the delinquent Apartment by requiring by written notice that said tenant (or said agent) pay the rent directly to the association.

Also, the board of directors shall have the right to terminate some or all utility services to an Apartment upon not less than 60 days prior written notice if the board deems it necessary or appropriate for the purpose of enforcing collection of common expenses or compliance with the condominium documents.

15.2 Costs

All costs and expenses, including reasonable attorneys' fees, incurred by or on behalf of the association for: (i) collecting any delinquent assessments against any owner's Apartment, (ii) foreclosing any lien thereon, and (iii) enforcing any provision of this Declaration, the Bylaws, the rules and regulations or any other condominium documents or the Act against an apartment owner or any tenant or occupant of any Apartment, shall be promptly paid on demand to the association by the apartment owner; provided, that if the claims upon which the association takes any action are not substantiated, all costs and expenses, including reasonable attorneys' fees, incurred by the apartment owner as a result of the action of the association, shall be promptly paid on demand to the apartment owner by the association.

16. AMENDMENTS OF THE DECLARATION.

16.1 Amendments Generally

Except as otherwise expressly provided herein or in the Act, this Declaration may be amended only by the affirmative vote or written consent of the owners of Apartments in the Project to which are appurtenant seventy-five percent (75%) of the common interests, evidenced by an instrument in writing, signed and acknowledged by any two (2) officers of the association, which amendment shall be effective upon recording; provided, however, that notwithstanding the foregoing provision, at any time prior to the first recording of a conveyance or transfer (other than for security) of an Apartment and its appurtenances to a party not a signatory hereof, the Declarant may amend this Declaration (including all exhibits), the Bylaws and the Condominium Map in any manner, without the consent or joinder of any Apartment purchaser or any other party. Notwithstanding the lease, sale or conveyance of any of the Apartments, the Developer may amend this Declaration (and when applicable, any exhibits to this Declaration) and the Condominium Map to file the "as-built" verified statement required by Section 514A-12 of the Act (i) so long as such statement is merely a verified statement of a registered architect or professional engineer certifying that the final plans thereof filed fully and accurately depict the layout, location, Apartment numbers, and the dimensions of the Apartments as built, or (ii) so long as the plans filed therewith involve only minor changes to the layout, location, or dimensions of the Apartments as built or any change in the apartment number.

Notwithstanding anything herein to the contrary, any rights or easements set forth in this Declaration in favor of Declarant or others shall be deemed to be vested and irrevocable, notwithstanding any amendment to this Declaration which shall purport to alter, amend or revoke such rights or easements.

16.2 Amendments Required by Law, Lenders, Title Insurers, Etc.

For so long as the Developer owns any Apartments, the Declarant shall have the further right (but not the obligation) to amend this Declaration and the Bylaws (and the Condominium Map, if appropriate) without the consent or joinder of any apartment owner, lienholder or other person or entity, for the purpose of meeting any requirement imposed by (i) any applicable law, (ii) the Real Estate Commission of the State of Hawaii, (iii) any title insurance company issuing a title insurance policy on the Project or any of the Apartments, (iv) any institutional lender lending funds on the security of the Project or any of the Apartments, or (v) any other governmental or quasi-governmental agency including, without limitation, the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, the U.S. Department of Housing and Urban Development or the Veterans Administration; provided, however, no amendment which would change the common interest appurtenant to an Apartment or substantially change the design, location or size of an Apartment shall be made without the consent of all persons having an interest in such Apartment. Each and every party acquiring an interest in the Project, by such acquisition, consents to the amendments described in this paragraph and agrees to execute and deliver such documents and instruments and do such other things as may be necessary or convenient to effect the same, and appoints the Declarant and its assigns as his or her attorney-in-fact with full power of substitution to execute and deliver such documents and instruments and to do such things on his or her behalf, which grant of such power, being coupled with an interest, is irrevocable for the duration of such reserved rights, and shall not be affected by the disability of such party or parties.

16.3 Restatement

Any other provision of this Declaration notwithstanding, the board, upon resolution duly adopted, shall have the authority as set forth in the Act to restate this Declaration from time to time to set forth any prior amendments hereof, or to amend this Declaration as required to conform with the provisions of the Act or any other statute, ordinance, rule or regulation enacted by any governmental authority.

16.4 Consent of Eligible Mortgage Holders

Amendments of a material nature to this Declaration shall require the prior written approval of not less than fifty-one percent (51%) of the eligible mortgage holders. The term "amendments of a material nature" shall mean and refer to changes to this Declaration relating to:

(a) voting rights of apartment owners;

(b) assessments, assessment liens, or subordination of assessment liens;

(c) the reserve funds for maintenance, repair and replacement of common elements;

(d) responsibility for maintenance and repair of the Apartments, common elements and limited common elements;

(e) the common elements and limited common elements appurtenant to the Apartments, or the rights to the use of the common elements and limited common elements, including any change in the undivided interests in the common elements appurtenant to the Apartments;

(f) the boundaries of any Apartment;

(g) conversion of Apartment spaces into common elements or limited common elements or vice versa;

(h) expansion or contraction of the Project, or the addition, annexation, or withdrawal of property to or from the Project;

(i) insurance or fidelity bonds;

(j) an apartment owner's right to sell, lease or otherwise transfer his or her Apartment or the imposition of any right of first refusal or similar restriction on the right of an apartment owner to sell, lease or otherwise transfer his or her Apartment;

(k) the qualification for the managing agent of the Project or the establishment of self-management by the association where professional management has been required by any agency or corporation which has an interest or prospective interest in the Project;

(l) restoration or repair of the Project after damage or destruction or partial condemnation;

(m) termination of the legal status of the Project as a condominium after substantial destruction or condemnation; or

(n) any provision that expressly affects the rights and remedies of holders, insurers, or guarantors of first mortgages on Apartments of the Project.

Any other changes to this Declaration shall not be considered as amendments of a material nature. The term "eligible mortgage holders" as used herein shall mean and refer to those holders, insurers, or guarantors of first mortgages on Apartments in the Project who have filed with the association written requests that they be given written notice of all of those meetings of the association at which any proposed amendment to this Declaration or the Bylaws will be considered by the apartment owners. The term "fifty-one percent (51%) of the eligible mortgage holders" shall mean eligible mortgage holders representing at least fifty-one percent (51%) or such other specified percentage of the votes of the Apartments that are subject to mortgages held by the eligible mortgage holders. In the event that an eligible mortgage holder fails to appear at a meeting of the association at which amendments of a material nature to this Declaration are proposed and considered, or fails to file a written response with the association within thirty (30) days after it received proper notice of the proposed amendment delivered by certified or registered mail, with a "return receipt" requested, then and in any such event such amendments shall conclusively be deemed approved by such eligible mortgage holder.

In addition to the foregoing, no amendment to this Declaration which would allow any action to terminate the condominium property regime created hereby for reasons other than substantial destruction or condemnation shall be made without the prior written approval of not less than two-thirds of the eligible mortgage holders.

16.5 Consent of Holders of First Mortgages

In addition to the foregoing provisions, except as otherwise provided in the Act, and notwithstanding anything to the contrary contained in this Declaration and the Bylaws with respect to actions which may be taken by the association, in case of condemnation or substantial loss to the Apartments or the common elements of the Project, unless at least two-thirds of the holders of first mortgages of Apartments of the Project (based on one vote for each first mortgage on an Apartment of the Project) or the apartment owners of the Project (other than the Declarant) have given their prior written approval, the association may not perform any of the following acts:

(a) by act or omission seek to abandon or terminate the Project;

(b) change the pro rata interest or obligations of any Apartment in order to levy assessment or charges, allocate distribution of hazard insurance process or condemnation awards, or determine the pro rata share of ownership of each Apartment in the common elements;

(c) partition or subdivide any Apartment (the provisions of this Declaration with respect to alteration of the Project are not a partition or subdivision within the meaning of this clause);

(d) seek to abandon, partition, subdivide, encumber, sell or transfer the common elements by act or omission (the granting of easements for public or private utilities or for public purposes consistent with the intended use of the common elements of the Project and the relocation of any easements appurtenant to the Project over other lands pursuant to the exercise of any right to relocate such easements by the owner of such other lands shall not be deemed a transfer within the meaning of this clause); and

(e) use hazard insurance proceeds for losses to any property of the Project (whether Apartments or common elements) for other than the repair, replacement, or reconstruction of the Project or any improvements thereon.

This Section 16.5 may not be amended without the prior written approval of not less than two-thirds of the holders of first mortgages of Apartments in the Project.

17. CAPTIONS.

The head notes or captions of each paragraph are for convenience only and shall not be constructed as enlarging, restricting, modifying or otherwise affecting the meaning or context thereof.

18. CONFLICT BETWEEN DECLARATION AND THE ACT.

In the event of a conflict or inconsistency between the provisions of this Declaration and the Act as a result of a change in the Act or otherwise, the provisions of the Act shall prevail.

Added by the 2007 Amendment:

19. GOVERNING LAW

Notwithstanding anything to the contrary in the Project governing documents, including but not limited to the Declaration, Bylaws, House Rules, and Condominium Map:

(a) This Project shall be governed by the provisions of Hawaii Revised Statutes, Chapter 514B, as amended;

(b) Any apartment deed, and the Project's Declaration, Bylaws, House Rules, and Condominium Map shall be liberally construed to facilitate the operation of the Project under the law;

(c) Amendments to the Declaration and Bylaws, including but not limited to amendments relating to the alteration of the Project, shall require approval of 67% of the owners;

(d) Approval requirements of 75% for alterations to the common elements shall be reduced to 67%;

(e) Punitive damages may not be awarded except as provided in Hawaii Revised Statutes, Section 514B-10; and

(f) Approval requirements for leases or uses of the common elements shall be governed by Hawaii Revised Statutes, Section 514B-38.

Operative subordination language from the 2007 Amendment ("NOW THEREFORE" clause):

NOW THEREFORE, the Declaration, as it may have been amended and/or restated, is hereby amended to "opt-in" to HRS Chapter 514B, as set forth below. To the extent that there is any conflict between the provisions of the Declaration and HRS Chapter 514B, the provisions of the Declaration shall be subordinate to HRS Chapter 514B, including all approval requirements in HRS Chapter 514B. This amended version of the Declaration shall supersede the original Declaration and all prior amendments to the Declaration.

IN WITNESS WHEREOF, the Declarant has executed this Declaration as of the 20th day of November, 2000.

Makena Estates L.L.C.

>

By ______________________________

Martin W. Quill

Its Manager Member

Exhibits:

- A   Description of Land

- B   Description of Buildings and Apartments

- C   List of Apartments, Parking Assignments, Areas and Common Interest Percentages

STATE OF HAWAII)

) SS:

COUNTY OF MAUI)

On this 20 day of November, 2000, before me appeared MARTIN W. QUILL, to me personally known, who, being by me duly sworn, did say that he is the Manager Member of MAKENA ESTATES L.L.C., a Hawaii limited liability company; that he executed the foregoing instrument as Manager Member of said company, and said Manager Member acknowledged said instrument to be the free act and deed of said company.

[L.S.]

[signature]

Notary Public, State of Hawaii

Print Name: Karen T. Fujimoto

My commission expires: 4/20/2003

EXHIBIT A

All of that certain parcel of land (being portion(s) of the land(s) described in and covered by Royal Patent Grant No. 234 to Linton L. Torbert and William Wilcox) situate, lying and being at Makena, Honuaula, District of Makawao, Island and County of Maui, State of Hawaii, being LOT B of "CHANG SUBDIVISION", and thus bounded and described:

Beginning at the east corner of this parcel of land, on the northwesterly boundary of Lot 7-B (Map 4) of Land Court Application 1846, on the south side of Makena-Alanui Road, the coordinates of said point of beginning referred to Government Survey Triangulation Station "PUU IO" being 5,638.82 feet South and 19,164.14 feet West, and running by azimuths measured clockwise from true South:

No.	Azimuth	Distance	Boundary
1	25° 42′ 20″	49.00 feet	along Lot 7-B (Map 4) of Land Court Application 1846;
2	89° 02′ 20″	52.00 feet	along Lot 7-B (Map 4) of Land Court Application 1846;
3	36° 37′ 20″	148.00 feet	along Lot 7-B (Map 4) of Land Court Application 1846;
4	12° 32′ 20″	75.00 feet	along Lot 7-B (Map 4) of Land Court Application 1846;
5	99° 32′	70.28 feet	along the remainder of Grant 234 to Torbert and Wilcox;
6	189° 32′	28.70 feet	along the remainder of Grant 234 to Torbert and Wilcox;
7	90° 13′	64.16 feet	along the remainder of Grant 234 to Torbert and Wilcox;
8	6° 18′	34.30 feet	along the remainder of Grant 234 to Torbert and Wilcox;
9	84° 59′	458.05 feet	along the remainder of Grant 234 to Torbert and Wilcox;
10	104° 19′	159.79 feet	along the remainder of Grant 234 to Torbert and Wilcox;
11	215° 07′ 20″	222.70 feet	along the remainder of Grant 234 to Torbert and Wilcox;
12	220° 35′ 20″	206.83 feet	along the remainder of Grant 234 to Torbert and Wilcox;
13	199° 10′ 20″	153.94 feet	along the remainder of Grant 234 to Torbert and Wilcox;
14	292° 36′	658.76 feet	along Lot 1 (Map 1) and Lot 324 (Map 42) of Land Court Application 1804 and along the South side of Makena-Alanui Road to the point of beginning and

			containing an area of 269,186 square feet or 6.180 acres, more or less.

Being the premises acquired by Warranty Deed from Samuel Malina, Jr., husband of Delores Jo Malina, et al., as Grantor, to Makena Estates LLC, a Hawaii limited liability company, as Grantee, dated March 1, 2000, recorded in the Bureau of Conveyances of the State of Hawaii as Document No. 2000-039542.

SUBJECT, HOWEVER, to the following:

1. Reservation in favor of the State of Hawaii of all mineral and metallic mines.

2. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Subdivision Agreement (Three Lots or Less) dated November 4, 1994, recorded in the said Bureau of Conveyances as Document No. 95-027759, between Edward Chang, Robyn Lehua Ponty, Jason Keene Pang, Janice P. Hachbarth, Ernest Chang, Gordon Chang, Gayle N. Morihara, Kenneth Chang, John K. Chang, Jr., Elizabeth Pearl Chang, Johnnie Dano, Johanna Thoene, Florence Gartrell, Elizabeth Chang, Helene Kellett Hart, Melvin Kellett, Esther M. Poplardo, Steven N. Chang, David K. Chang, Clifford Chang, Laverne Chang, Solomon Chang, Phillip Chang, Frank Chang, Samuel Malina, Jr., Louis Fernandez, III, Randolph Fernandez, Helaine Chock, and Patricia E. Chang, "The Owners", and the County of Maui, a body politic and corporate and a political subdivision of the State of Hawaii, "County".

3. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Subdivision Agreement (Three Lots or Less) dated November 4, 1994, recorded in the said Bureau of Conveyances as Document No. 95-027760, between Edward Chang, Robyn Lehua Ponty, Jason Keene Pang, Janice P. Hachbarth, Ernest Chang, Gordon Chang, Gayle N. Morihara, Kenneth Chang, John K. Chang, Jr., Elizabeth Pearl Chang, Johnnie Dano, Johanna Thoene, Florence Gartrell, Elizabeth Chang, Helene Kellett Hart, Melvin Kellett, Esther M. Poplardo, Steven N. Chang, David K. Chang, Clifford Chang, Laverne Chang, Solomon Chang, Phillip Chang, Frank Chang, Samuel Malina, Jr., Louis Fernandez, III, Randolph Fernandez, Helaine Chock, and Patricia E. Chang, "The Owners", and the County of Maui, a body politic and corporate and a political subdivision of the State of Hawaii, "County".

4. The terms and provisions, including the failure to comply with any covenants, conditions and reservations, contained in Unilateral Agreement dated November 23, 1998, recorded in the said Bureau of Conveyances as Document No. 99-034542, by Malia Aina, Ltd.

5. Claims arising out of customary and traditional rights and practices, including without limitation those exercised for subsistence, cultural, religious, access or gathering purposes, as provided for in the Hawaii Constitution or the Hawaii Revised Statutes.

6. Any lien (or claim of lien) for services, labor or material arising from an improvement or work related to the land described herein.

7. Discrepancies, conflicts in boundary lines, shortage in area, encroachments or any other matters which a correct survey or archaeological study would disclose.

END OF EXHIBIT A

Tax Key: 2-1-007-101 (2)

EXHIBIT B

DESCRIPTION AND LOCATION OF THE APARTMENTS AND BUILDINGS

1. _Description of the Buildings:_ The Project consists of six (6) buildings: two (2) four (4) story buildings ("Type I") and four (4) three (3) story buildings ("Type II"). There are six (6) apartments in the Type II buildings, with two apartments on each floor, and eight (8) apartments in the Type I buildings with two apartments on each floor. The Type I buildings are designated Building B and Building C and the Type II buildings are designated Building A, Building D, Building E, and Building F. All buildings are constructed of concrete, steel, wood, glass and related materials.

2. _Description of Apartments:_ The apartments are built according to seven (7) different floor plans within the Type I and Type II building configurations. The apartment types are identified as Type A, Type B, Type C, Type D, Type E, Type F, and Type G. The apartment types are more particularly described as follows:

Type A:

Type A apartments have three bedrooms, two and one-half bathrooms, a great room (living/dining/kitchen), and a loft area. Type A apartments also include a covered lanai, closets, hallways, and storage areas all as shown on the Condominium Map. Type A apartments are designated A-301, A-302, B-401, C-401, D-301, E-301, F-301, and D-302 as shown on the Condominium Map.

Type B:

Type B apartments have two bedrooms, two and one-half bathrooms, a great room (living/dining/kitchen), together with a loft area. Type B apartments also include a covered lanai, closets, hallways, and storage areas all as shown on the Condominium Map. Type B apartments are designated B-402, C-402, E-302 and F-302 as shown on the Condominium Map.

Type C, Type E, and Type F:

Type C, Type E, and Type F apartments have three bedrooms, two and one-half bathrooms, and a great room (living/dining/kitchen), together with a covered lanai, closets, hallways, and storage areas all as shown on the Condominium Map. Type C apartments are designated A-201, A-202, B-201, B-301, C-201, C-301, E-201, F-201 and D-202; Type E apartments are designated A-101, B-101, C-101, D-101, E-101, and F-101; Type F apartments are designated A-102 and D-102; all as shown on the Condominium Map.

Type D and Type G:

Type D and Type G apartments have two bedrooms, two and one-half bathrooms, and a great room (living/dining/kitchen) together with a covered lanai, closets, hallways, and storage areas all as shown on the Condominium Map. Type D apartments are designated B-202, B-302, C-202, C-302, E-202 and F-202; Type G apartments are designated as B-102, C-102, E-102, and F-102, all as shown on the Condominium Map.

EXHIBIT C

APARTMENT NUMBERS, PARKING STALLS, NET LIVING FLOOR AREAS, OTHER FLOOR AREAS, AND COMMON INTERESTS

Deleted — original Exhibit C:

~~No.~~	~~Apt. Type~~	~~Bldg. Type~~	~~Assigned Covered Parking Stall No.~~	~~Net Living Floor Area~~	~~Covered Lanai Area~~	~~Loft Area~~	~~Total Area~~	~~Common Interest~~
~~1~~	~~A~~	~~II~~	~~P05~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~2~~	~~A~~	~~II~~	~~P06~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~1~~	~~A~~	~~I~~	~~P15~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~1~~	~~A~~	~~I~~	~~P31~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~1~~	~~A~~	~~II~~	~~P45~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~1~~	~~A~~	~~II~~	~~P57~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~1~~	~~A~~	~~II~~	~~P73~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~2~~	~~B~~	~~II~~	~~P74~~	~~2123~~	~~215~~	~~604~~	~~2942~~	~~3.0%~~
~~2~~	~~B~~	~~I~~	~~P16~~	~~2123~~	~~215~~	~~604~~	~~2942~~	~~3.0%~~
~~2~~	~~B~~	~~I~~	~~P30~~	~~2123~~	~~215~~	~~604~~	~~2942~~	~~3.0%~~
~~2~~	~~A~~	~~II~~	~~P46~~	~~2126~~	~~215~~	~~604~~	~~2945~~	~~3.0%~~
~~2~~	~~B~~	~~II~~	~~P58~~	~~2123~~	~~215~~	~~604~~	~~2942~~	~~3.0%~~
~~1~~	~~C~~	~~II~~	~~P03~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~2~~	~~C~~	~~II~~	~~P04~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~I~~	~~P19~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~I~~	~~P17~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~I~~	~~P43~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~I~~	~~P32~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~II~~	~~P47~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~II~~	~~P59~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~1~~	~~C~~	~~I~~	~~P72~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~2~~	~~D~~	~~II~~	~~P75~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~
~~2~~	~~D~~	~~I~~	~~P20~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~

~~2~~	~~D~~	~~I~~	~~P18~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~
~~2~~	~~D~~	~~I~~	~~P42~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~
~~2~~	~~D~~	~~I~~	~~P44~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~
~~2~~	~~C~~	~~II~~	~~P48~~	~~2086~~	~~215~~		~~2301~~	~~2.575%~~
~~2~~	~~D~~	~~II~~	~~P60~~	~~2083~~	~~215~~		~~2298~~	~~2.575%~~
~~1~~	~~E~~	~~II~~	~~P01~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~1~~	~~E~~	~~I~~	~~P21~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~1~~	~~E~~	~~I~~	~~P41~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~1~~	~~E~~	~~II~~	~~P49~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~1~~	~~E~~	~~II~~	~~P61~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~1~~	~~E~~	~~II~~	~~P71~~	~~2020~~	~~215~~		~~2235~~	~~1.9%~~
~~2~~	~~G~~	~~II~~	~~P70~~	~~2056~~	~~215~~		~~2271~~	~~1.9%~~
~~2~~	~~F~~	~~II~~	~~P02~~	~~2059~~	~~215~~		~~2274~~	~~1.9%~~
~~2~~	~~G~~	~~I~~	~~P22~~	~~2056~~	~~215~~		~~2271~~	~~1.9%~~
~~2~~	~~G~~	~~I~~	~~P40~~	~~2056~~	~~215~~		~~2271~~	~~1.9%~~
~~2~~	~~F~~	~~II~~	~~P50~~	~~2059~~	~~215~~		~~2274~~	~~1.9%~~
~~2~~	~~G~~	~~II~~	~~P62~~	~~2056~~	~~215~~		~~2271~~	~~1.9%~~
~~**Totals**~~								~~100.0%~~

Added — Exhibit C substituted by the First Amendment (2001):

Apt. No.	Apt. Type	Bldg. Type	Assigned Covered Parking Stall No.	Net Living Floor Area	Covered Lanai Area	Loft Area	Total Area	Common Interest
A-301	A	II	P09	2116	206	657	2979	3.0%
A-302	A	II	P10	2116	206	657	2979	3.0%
B-401	A	I	P15	2116	206	657	2979	3.0%
C-401	A	I	P31	2116	206	657	2979	3.0%
D-301	A	II	P45	2116	206	657	2979	3.0%
E-301	A	II	P57	2116	206	657	2979	3.0%
F-301	A	II	P73	2116	206	657	2979	3.0%
F-302	B	II	P74	2088	206	657	2951	3.0%
B-402	B	I	P16	2088	206	657	2951	3.0%
C-402	B	I	P30	2088	206	657	2951	3.0%
D-302	A	II	P46	2116	206	657	2979	3.0%
E-302	B	II	P58	2088	206	657	2951	3.0%
A-201	C	II	P11	2116	206		2322	2.575%
A-202	C	II	P12	2116	206		2322	2.575%
B-201	C	I	P19	2116	206		2322	2.575%
B-301	C	I	P17	2116	206		2322	2.575%
C-201	C	I	P43	2116	206		2322	2.575%
C-301	C	I	P32	2116	206		2322	2.575%
D-201	C	II	P47	2116	206		2322	2.575%

E-201	C	II	P59	2116	206		2322	2.575%
F-201	C	II	P72	2116	206		2322	2.575%
F-202	D	II	P75	2088	206		2294	2.575%
B-202	D	I	P20	2088	206		2294	2.575%
B-302	D	I	P18	2088	206		2294	2.575%
C-202	D	I	P42	2088	206		2294	2.575%
C-302	D	I	P44	2088	206		2294	2.575%
D-202	C	II	P48	2116	206		2322	2.575%
E-202	D	II	P60	2088	206		2294	2.575%
A-101	E	II	P13	2049	206		2255	1.9%
B-101	E	I	P21	2049	206		2255	1.9%
C-101	E	I	P41	2049	206		2255	1.9%
D-101	E	II	P49	2049	206		2255	1.9%
E-101	E	II	P61	2049	206		2255	1.9%
F-101	E	II	P71	2049	206		2255	1.9%
F-102	G	II	P70	2088	206		2294	1.9%
A-102	F	II	P14	2116	206		2322	1.9%
B-102	G	I	P22	2088	206		2294	1.9%
C-102	G	I	P40	2088	206		2294	1.9%
D-102	F	II	P50	2116	206		2322	1.9%
E-102	G	II	P62	2088	206		2294	1.9%
			Totals					100.0%